WEEK 7 · LECTURE L2 · UNIT III

Evidence Based HR and the Discipline of Measurement

What counts as evidence, what a good measure looks like, and how measures go wrong once they become targets.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Explain evidence based management: four sources of evidence and Pfeffer and Sutton’s principles.
2. Apply LAMP and the efficiency, effectiveness and impact distinction to HR measurement.
3. Distinguish a metric, a KPI and a vanity number, and build a KPI with five components.
4. Use a logic model with realistic time lags, and anticipate how targets distort measures (Campbell; Strathern).

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 3 and CLO 4.

COMMIT BEFORE THEORY

Commit to an answer first

A hospital rewards ward managers for cutting average patient waiting time. Within a year, waiting times fall sharply, but complaints rise. What is the most likely explanation?

A

Patients complain more as they get better service

B

Once the measure became a target, people changed what was measured, not the care itself

C

Complaints are random noise

D

The measure was calculated wrongly

EXAM LENS

The answer is B (Campbell, 1979; Strathern, 1997).

BRINER, DENYER AND ROUSSEAU (2009)

Evidence based management: four sources of evidence

Scientific research

Findings from systematic, peer reviewed studies.

Organizational data

Facts and figures from the organization itself.

Practitioner expertise

The judgment of experienced professionals.

Stakeholder values

The concerns of those affected by the decision.

EXAM LENS

Decisions through the conscientious, explicit and judicious use of all four. Rousseau (2006): practice should rest on the best available evidence, not on fads, habit or the loudest voice. Analytics is one source, not the only one.

PFEFFER AND SUTTON (2006)

Six principles of evidence based management

1
Face hard facts.

2
Commit to fact based decisions.

3
Treat the organization as an unfinished prototype.

4
Look for risks and drawbacks.

5
Avoid untested but strongly held beliefs.

6
Update beliefs when evidence changes.

As summarized in the course’s people analytics teaching note.

BOUDREAU AND RAMSTAD (2007)

LAMP: four links from data to decisions

Logic

A clear causal story connecting people to results.

Analytics

Sound methods that fit the question.

Measures

Valid, reliable, timely data.

Process

A route by which findings change decisions.

EXAM LENS

Break any one link and analytics produces reports, not decisions. A tool with no owner and no decision route has analytics and measures but no logic or process.

WHAT TO MEASURE

Activity, efficiency, effectiveness and impact

Level	Question	HR example
Activity	What did we do?	Interviews held, training hours
Efficiency	How well were resources used?	Cost per hire, time to fill
Effectiveness	Did the activity change people?	Quality of hire, training transfer, skill gained
Impact	Did that change affect business results?	Sales per store, service, safety, revenue per employee

EXAM LENS

Most HR reporting stops at activity and efficiency; strategic value lies in effectiveness and impact.

Efficiency, effectiveness and impact from Boudreau and Ramstad (2007); the four levels from the course's teaching note, citing Miles and Snow (1984).

METRIC, KPI, VANITY NUMBER

And what makes a KPI

Metric

Any measure that is tracked.

KPI

A metric tied to a strategic goal, with an owner, a target and a review rhythm (balanced scorecard thinking: Kaplan and Norton, 1992).

Vanity number

Looks good, drives no decision: “ever logged in” (Ries, 2011).

BUILD A KPI

Five components, from goal setting theory: a specific goal, a measurement method, a challenging target, regular feedback, clear ownership with a review frequency. “Improve retention” is a wish; “turnover below 12%, measured as exits ÷ average headcount, owned by the HR partner, reviewed monthly” is a KPI.

W. K. KELLOGG FOUNDATION (2004); WEISS (1995)

A logic model, and the lags between links

Stage	Example	Typical lag to the next stage
Inputs	Money, time, people	Inputs to outputs: one to two months
Activities	Training sessions	
Outputs	Completions, satisfaction	Outputs to outcomes: three to six months
Outcomes	Behavior and capability change	Outcomes to impact: six to twelve months
Impact	Productivity, revenue, turnover	

EXAM LENS

Programs often succeed at inputs and activities but break at outcomes: poor transfer climate, weak manager support, misfit with the work. Judging a program before its lag has passed misreads it. The teaching note reports that about 85% of organizations measure reaction, 35% learning, 15% behavior and under 5% results.

Lags and shares as given in the course’s teaching note.

FROM A VAGUE QUESTION TO AN ANSWER

Making “why are we losing people?” answerable

Element	Specified
Population	All employees in scope, both active and exited
Comparison	Exit rate by manager effectiveness band
Data	Manager ratings joined to exit records
Decision	Where to invest in manager coaching

EXAM LENS

Specify population, comparison, data and decision before any analysis. Fixing data without building capability produces cleaner reports nobody uses.

CAMPBELL (1979); STRATHERN (1997)

When a measure becomes a target

Time to fill

Rewarded alone, it invites rushed, poor hires.

Training hours

Rewarded alone, it invites padded courses.

Attrition

Rewarded alone, it invites reclassifying exits.

EXAM LENS

When a measure becomes a target, it ceases to be a good measure. Pair every target with a counter measure: time to fill with quality of hire.

WHY MEASUREMENT FAILS

Data and capability traps

Definitions differ

Each unit counts “employee” or “exit” differently.

Missing and stale data

Fields left blank, records not updated.

Small numbers

Rates on tiny groups swing wildly.

No analytical skill in HR

Questions framed badly, results misread (Marler and Boudreau, 2017).

No route to decisions

The LAMP process link is missing.

Measuring what is easy

Activity counted because it is available.

EXAM LENS

Most analytics failures are failures of data and capability, not of algorithms.

APPLY

A dashboard that rewards the wrong thing

Teaching case (Course framing)

A Hyderabad hospital chain gives HR managers a bonus tied to three numbers: time to fill nursing posts, training hours per nurse and employees who have downloaded the HR app. All three improved. Nurse turnover in the first year rose from 18% to 27%.

Work it through

1. Classify each bonus measure as efficiency, effectiveness, impact or vanity.
2. Which measure is a vanity number, and why?
3. How might Campbell explain the rise in turnover?
4. Redesign the bonus with one KPI and one counter measure.

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
Analytics is the only evidence that counts	Evidence based management uses research, data, expertise and stakeholder values
Every tracked number is a KPI	A KPI needs a goal, an owner, a target and a review rhythm
A rewarded measure stays accurate	Once a measure becomes a target, people change the measure rather than the work
A program can be judged next month	Logic model lags run from months to a year

COMPARE AND EVALUATE

Six lenses on measurement

Lens	Use it to	Watch out for
Evidence based management	Weigh four sources	Judgment still required
LAMP	Find the broken link	Logic is often assumed, not tested *
Efficiency, effectiveness, impact	Classify measures	Impact is hard to attribute
KPI components	Build usable KPIs	Too many KPIs dilute focus *
Logic model	Trace a program over time	Lags vary by program
Campbell; Strathern	Anticipate gaming	Not every target fails

* Course framing.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

A Gurugram logistics firm reports HR success through time to fill, training hours and app downloads. Using LAMP, the efficiency, effectiveness and impact distinction, and Campbell's law, evaluate this measurement system and propose a better set of three KPIs. **20 marks**

A strong answer: classifies each measure and identifies the vanity number; applies LAMP to find the missing link; uses Campbell or Strathern to predict distortion; proposes KPIs with owners, targets and counter measures, and a limit.

Using a logic model, explain why a reskilling program may look successful at six months and still fail to deliver business impact. **20 marks**

A strong answer: traces inputs to impact; names the lags; locates the usual break at outcomes; proposes measures at each stage.

Distinguish a metric, a KPI and a vanity number, with an HR example of each. **10 marks**

A strong answer: gives correct definitions and examples, including the five KPI components.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **Evidence has four sources.**
   Research, data, expertise, stakeholder values.

2. **Break one LAMP link and you get reports, not decisions.**
   Logic, analytics, measures, process.

3. **Measure effectiveness and impact, not only efficiency.**
   And allow for the lags.

4. **Every target needs a counter measure.**
   Measures that become targets get gamed.

SET READINGS · FROM THE LESSON PLAN

Read for this week

- Marler and Boudreau (2017); Davenport, Harris and Shapiro (2010); Fitz-enz and Mattox (2014), Chapters 1 and 2.

NOTE

The other works named in this lecture are theory sources for reference, not set readings.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

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